

US Markets Daily Report

Monday, August 17, 2026 | Market Close

SPY / QQQ Snapshot

ETF	Today's Close*	vs Prev Close	1Y High	1Y Low	~1Y Return
SPY	\$772.25	-0.52%	\$777.88	\$620.00	+24.56%
QQQ	\$728.40	-0.32%	\$745.00	\$550.83	+31.48%

* SPY and QQQ close prices estimated from official index levels (S&P 500: 7,745.06; Nasdaq Composite: 26,644.91) as direct ETF feed was unavailable; prior-day prices from verified session data.

Market Overview — August 17, 2026

Index / Asset	Level	Change	Note
S&P 500	7,745.06	-0.52%	Third consecutive weekly gain capped last Friday; today erased early
Dow Jones	53,459.78	-0.51% (-272.63 pts)	Broad weakness; defensive names and financials dragged.
Nasdaq Composite	26,644.91	-0.32%	Tech resilience cushioned the index; only 151/500 S&P stocks a
30-Year Treasury Yield	~4.95%	Highest since 2007	Rising yields pressured rate-sensitive sectors.
Brent Crude	~\$89/bbl	+	US-Iran tensions flared as 60-day ceasefire expiry loomed.

News → Today's Market Moves

1. US-Iran Tensions & Oil Surge (Dominant Negative)

The 60-day US-Iran ceasefire window neared expiry with the US signalling its naval blockade of Iranian ports could continue 'indefinitely.' Brent crude jumped to ~\$89/bbl, driving the 30-year Treasury yield to its highest level since 2007. Rising long rates compress equity multiples directly — the SPY's -0.52% move was largely explained here. Energy stocks (XOM, CVX) bucked the trend with modest gains as oil is their revenue tailwind. Defense names (LMT +2.46%, RTX +1.74%) outperformed on elevated geopolitical premium.

2. Weak Retail Sales (Negative for Consumer/Retail)

July retail sales fell a surprising -0.6% MoM (consensus: -0.2%). Excluding autos, sales fell -0.3% (vs +0.2% expected). The control group — the GDP-input measure — fell -0.4%, the worst print since January 2025. This spooked the market ahead of a heavy retail earnings week (Home Depot Tue, Lowe's Wed, Target/Walmart Thu). Consumer discretionary and staples lagged; McDonald's (-1.81%) and broader consumer names sold off on recession-demand fears.

3. Persistent Rate Anxiety (Negative Across Sectors)

Softer July CPI/PPI earlier in the week had trimmed September hike odds to 30%, but today's inflationary oil backdrop and weak consumer data kept the Fed's path uncertain. The July FOMC minutes (released Wednesday) had a 9-3 hawkish split — three members wanted a hike. UnitedHealth (-1.63%) and rate-sensitive sectors (utilities, REITs) underperformed. Microsoft (-1.09%) was emblematic of the 'long-duration asset' pressure when real yields spike.

4. Tech & Telecom Pockets of Strength (Partial Offset)

T-Mobile (TMUS +5.67%) surged on strong subscriber data and a potential spectrum deal. Roper Technologies (ROP +3.44%) and IFF (+2.94%) recovered on idiosyncratic catalysts. The chip complex held in — Sandisk and Micron's AI-demand narrative remains intact — limiting QQQ's decline to a more modest −0.32% vs SPY's −0.52%.

Top Movers — Daily, Weekly, Monthly

Daily Movers (August 17, 2026)

Rank	Ticker	Company	Change	Sector
G1	TMUS	T-Mobile US	+5.67%	Communication Svcs
G2	ROP	Roper Technologies	+3.44%	Industrials
G3	IFF	Int'l Flavors & Frag.	+2.94%	Materials
G4	LMT	Lockheed Martin	+2.46%	Defense/Industrials
G5	DOV	Dover Corporation	+2.22%	Industrials
G6	RTX	RTX Corp (Raytheon)	+1.74%	Defense/Industrials
G7	CSCO	Cisco Systems	+1.49%	Technology
G8	CAT	Caterpillar	+0.70%	Industrials
G9	GS	Goldman Sachs	+0.31%	Financials
---	---	---	---	---
L1	MCHP	Microchip Technology	−3.06%	Semiconductors
L2	MCD	McDonald's	−1.81%	Consumer Discret.
L3	UNH	UnitedHealth Group	−1.63%	Healthcare
L4	MSFT	Microsoft	−1.09%	Technology

Sector theme — Daily Gainers: Defense & Industrials dominated (geopolitical premium + oil). T-Mobile was an outlier on its own catalyst. Losers: Consumer/Healthcare/Long-duration tech retreated on weak retail sales and high real yields.

Weekly Movers (Week of Aug 11–14, 2026)

Rank	Ticker	Company	Change	Sector
G1	DDOG	Datadog	+11.5%	Cloud/Software
G2	APA	APA Corp	+~5%	Energy
G3	MPC	Marathon Petroleum	+~4%	Energy/Refining
G4	SNDK	Sandisk	+15%†	Semiconductors/AI
G5	MU	Micron Technology	+~5.6%	Semiconductors
---	---	---	---	---
L1	COHR	Coherent Corp	−14.2%	Photonics
L2	LITE	Lumentum Holdings	−6%+	Photonics
L3	CIEN	Ciena	−~4%	Networking
L4	DDOG	Datadog (prior wk)	−19%	Cloud/Software (Q2 headwind)

† Sandisk +15% on Aug 13 driven by PPI-cool euphoria and AI memory demand narrative. Weekly sector trend — Gainers: AI-adjacent memory chips, energy. Losers: Optical/photonics (AI infrastructure selloff on OpenAI customer risk disclosed by

DDOG). DDOG itself was a paradox — surged weekly but was the prior week's largest loser after its Q2 call.

Monthly Movers (July 2026)

Rank	Ticker	Company	Chg (Jul)	Sector
G1	CTSH	Cognizant Technology	+42.9%	IT Services
G2	ACN	Accenture	+34.9%	IT Consulting
G3	PYPL	PayPal Holdings	+32.5%	Fintech
G4	MarineMax	MarineMax	+46%	Consumer Discretionary (M&A)
G5	VREX	Varex Imaging	+48%	Healthcare (M&A)
---	---	---	---	---
L1	SNDK	Sandisk	-46.6%	Semiconductors (unwind)
L2	GLW	Corning	-45.9%	Photonics/Glass
L3	KLAC	KLA Corporation	-39.4%	Semiconductor Equipment
L4	CSGP	CoStar Group	-56% YTD	Real Estate Data

Monthly sector trend — Gainers: IT Services/Consulting (AI-disruption trade reversal; incumbents re-rated as complements, not victims). M&A-driven pops (MarineMax, Varex). Losers: AI infrastructure unwind — crowded AI semi/photonics positions reversed as institutional capital rotated. GLW and KLAC fell on the same thesis: AI capex expectations were over-extrapolated.

Next-Day Scenarios — August 18, 2026

1. Home Depot (HD) Q2 Earnings — Before Market Open

→ **BEAT (EPS > \$4.75, Rev > \$47.1B, raised guidance):**

HD +4–7%; builder/home-improvement sector lifts. SPY likely +0.3–0.6% as consumer confidence narrative flips — even weak housing hasn't killed pro-contractor demand. QQQ modest benefit. Lowe's pre-earnings move also typically +2–3% in sympathy.

→ **MISS or soft guidance (EPS < \$4.65, weak comp-store sales):**

HD -5–8%; drags consumer discretionary broadly. SPY -0.4–0.7% on recession demand fears intensifying after already-weak retail sales data. Lowe's and Target/Walmart futures pressure too. Could also push risk-off buying of Treasuries, briefly capping yield rise.

→ **In-line, muted guidance:**

HD ±1–2%; sector-neutral. SPY trades on other catalysts (oil, yields).

2. Housing Starts + Building Permits (July) — 8:30 AM ET

→ **Strong (starts > 1.38M, permits > 1.45M):**

Modest positive for homebuilders (LEN, DHI +1–3%). Signals resilient construction despite high mortgage rates. SPY +0.1–0.3%. Could be partially offset if interpreted as inflationary (more rate pressure).

→ **Weak (starts < 1.25M, permits declining):**

Homebuilders sell off -2–4%. SPY -0.2–0.4%. Amplifies 'housing market in recession' narrative. Could ironically relieve rate pressure briefly, giving Nasdaq a relative lift.

3. Industrial Production (July) — 9:15 AM ET

- **Beats (IP > +0.3% MoM):**
- Moderate positive for industrials (CAT, GE, MMM +0.5–1%). Signals manufacturing resilience. SPY +0.1–0.2%. Cuts recession probability priced in after weak retail sales.
- **Misses (IP < –0.1% MoM):**
- Adds to stagflation narrative (weak demand + high oil/yields). SPY –0.2–0.5%. Industrials and materials underperform.

4. Geopolitics — US-Iran Ceasefire Status

- **Ceasefire extended or diplomatic progress:**
- Oil falls sharply (–3–5% Brent). 30-year yield relief. SPY +0.5–0.8%, QQQ +0.6–1%. Defense stocks (LMT, RTX) give back some gains. Broad market re-rating positive.
- **Ceasefire collapses / escalation:**
- Oil spikes (potentially +5–8%). 30-year yield surges further. SPY –1–1.5%. Energy sector outperforms; rest of market broadly lower. Fed credibility risks if oil embeds inflation expectations again.

Possible Trade Summary — End of Day / Next-Day Open

Action	Ticker	Rationale	Conviction
WATCH/BUY	TMUS	Telecom catalyst momentum (+5.67% today); spectrum deal potential	Medium
BUY-IF-BEAT	HD	If Q2 beats consensus (\$4.73 EPS / \$47B rev), stock reclaims \$345+	High
AVOID/SELL	COHR/LITE	Photonics sector structurally pressured by OpenAI customer risk cascade	Medium-High
HOLD/AVOID SELL	SPY	Neutral: 30-yr yield pressure and Iran risk are headwinds, but 3 consecutive	Medium
CAUTIOUS BUY	LMT/RTX	Iran tensions provide durable geopolitical premium. If ceasefire expires	Medium
AVOID	MCD/UNH	Consumer sentiment falling + weak retail sales = near-term pressure	Low-Med
WATCH	XOM/CVX	Oil at \$89 Brent is energy-sector tailwind. If Iran tensions persist, energy	Low-Medium

DISCLAIMER: This is a research and analysis summary only. Not financial advice. No trades are placed or recommended as instructions. Prices are estimated from index levels; verify before acting.